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Market Overview

In April 2026, global equity markets, particularly the technology sector, demonstrated resilience amid ongoing AI-driven capital expenditure (capex) and strong earnings from major hyperscale's. The S&P 500 reached record highs, closing near 7,209 by late April, supported by robust tech earnings, easing geopolitical tensions, and optimism around AI infrastructure spending (finance.yahoo.com, n.d.).



Figure 1: S&P 500

The tech sector benefited from explosive growth in cloud and AI services. Alphabet reported standout Q1 2026 results with revenue of approximately \$109.9 billion (up 22% YoY) and net income surging 81% to \$62.6 billion, fuelled by Google Cloud revenue exceeding \$20 billion (63% growth) and strong AI adoption (e.g., Gemini models processing 16 billion tokens per minute). Shares hit all-time highs, pushing market cap toward \$4.4 trillion.

Apple and Microsoft also navigated a dynamic environment with solid services/cloud momentum, though with varying pressures from hardware cycles and heavy AI investments. Broader IT spending is projected to reach ~\$6.15 trillion in 2026 (up 10.8% YoY), driven by AI infrastructure, data centres, and cloud expansion.

This report analyzes the three allocated stocks using historical performance (including April 2026 movements), LSTM-based 14-day blind forecasts (1–20 May 2026 from the Section 01 model), recent market/news context, competitor insights, and visualizations. Recommendations follow for the upcoming week, aligned with investor decision-making.

Stock Analysis

1. Alphabet Inc. (GOOG)

1.1 Company Overview



Figure 2: Alphabet Inc Main Product

Alphabet Inc. (NASDAQ: GOOG/GOOGL), headquartered in Mountain View, California, is a multinational technology conglomerate founded in 1998 by Larry Page and Sergey Brin as Google, and restructured under the Alphabet holding company in 2015. The company operates through three primary reportable segments: Google Services, Google Cloud, and Other Bets.

1.2 Recent Market Performance

GOOG exhibited strong upward momentum in April 2026, with shares climbing significantly. By late April, the stock traded in the \$340–\$380 range, surging post-Q1 earnings (e.g., closing around \$381.94 on April 30 after a strong session). Year-to-date and 12-month gains were robust, reflecting AI-driven optimism. Google Cloud's 63% YoY growth and record backlog validated heavy capex (raised to \$180–\$190 billion for 2026) (fortune.com, n.d.).



Figure 4: GOOG Last Month Stock Price



Figure 3: GOOG Last 5-year Stock Price

1.3 Significant Price Movements & Justification

Key movements in April 2026 included a sharp post-earnings rally on April 29–30, with shares rising ~6–10% in extended/regular trading after beating expectations. This was driven by:

- Explosive Google Cloud performance (\$20B+ revenue) and AI feature adoption.
- Strong Search growth via AI enhancements.
- Broader market relief and tech sector rotation.

Earlier volatility reflected capex concerns and macroeconomic factors, but Q1 results alleviated fears, highlighting Alphabet's full-stack AI strategy (including Waymo's scale). No major sudden negative fluctuations were noted in the immediate pre-May period; instead, the earnings catalyzed a bullish breakout (cnbc.com, n.d.).

1.4 Competitor Analysis

Alphabet competes with Microsoft (Azure) and Amazon (AWS) in cloud/AI. Google Cloud's 63% growth outpaced some peers in the quarter, with a surging backlog. Microsoft and Meta faced mixed reactions to their earnings amid high capex scrutiny, while Alphabet's profitability and AI monetization (e.g., Gemini) stood out positively. In search/advertising, ongoing AI chatbot competition persists, but Google's scale provides resilience (cnbc.com, n.d.).

1.5 Forecast & Recommendation

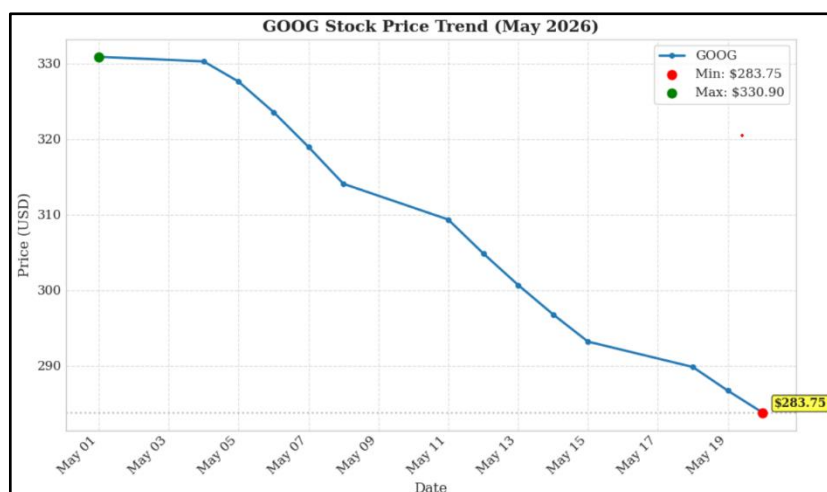


Figure 5: Forecast GOOG Stock Prices

The LSTM model (trained on 5 years of data up to ~April 30, 2026, with 60-day lookback and bias correction) generates a 14+ day blind forecast for early-to-mid May 2026 showing a gradual decline from ~\$331 to lower levels (~\$284 by May 20). This suggests potential short-term consolidation or mild correction after the April rally,

possibly due to profit-taking or broader market dynamics captured in historical patterns.

Recommendation: Hold. The short-term LSTM signal indicates caution for new entries, but Alphabet's fundamental strength (AI/cloud leadership, earnings momentum) supports long-term

upside. Investors should monitor Q2 developments and capex execution. Avoid aggressive buying in the immediate week if the forecast consolidation materializes; existing holders can maintain positions given the company's trajectory.

2. Apple Inc. (AAPL)

2.1 Company Overview



Figure 6: Apple Inc Product Line

Apple Inc. (NASDAQ: AAPL), headquartered in Cupertino, California, is a global leader in consumer electronics and technology services. The company designs, manufactures, and markets a premium portfolio of products, including the iPhone, Mac, iPad, Apple Watch, AirPods, and Apple Vision Pro. Beyond hardware, Apple has built a highly profitable ecosystem through its software and services segment, which includes the App Store, Apple Music, Apple TV+, iCloud, Apple Pay, and AppleCare.

2.2 Recent Market Performance



Figure 7: AAPL Last Month Share Prices

AAPL demonstrated relative stability with modest gains throughout April 2026, trading primarily in the \$267–\$276 range. The stock closed at \$271.35 on April 30, 2026. It responded positively to the company’s strong fiscal Q2 2026 results (ended March 28), announced after market

close on April 30, which featured record revenue and earnings.

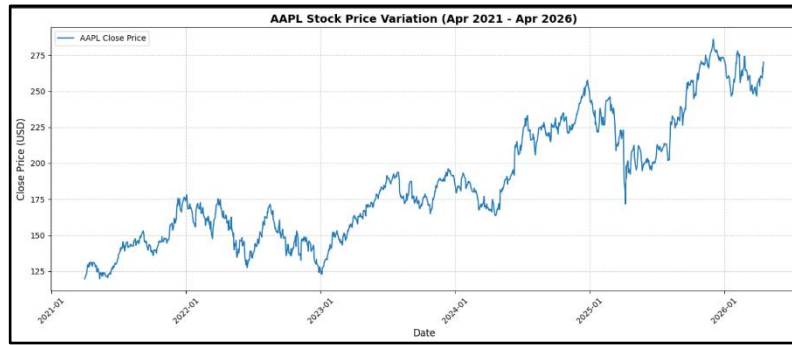


Figure 8: AAPL Last 5-year Stock Prices

2.3 Significant Price Movements & Justification

Movements were relatively contained compared to peers. Post-earnings on April 30, shares edged higher on strong margins, services, and buyback news, despite any iPhone-related commentary. Leadership transition news in April was absorbed without major disruption. Broader factors included AI integration expectations and China demand monitoring. No extreme fluctuations; performance reflected steady execution in a capex-heavy tech environment.

2.4 Competitor Analysis

Apple competes in hardware with Samsung and in services/cloud with Microsoft, Google, and Amazon. Its ecosystem lock-in and services margin advantage provide differentiation. While hyperscale's emphasize AI infrastructure, Apple's consumer-focused AI (Siri enhancements, on-device processing) and premium branding support steady demand. Recent product refreshes (e.g., potential lower-end devices) aim to broaden accessibility.

2.5 Forecast & Recommendation

The LSTM blind forecast projects steady upward movement from ~\$278 to ~\$319 over the two weeks into mid-May. This bullish signal aligns with services momentum, buybacks, and potential AI/product catalysts.

Recommendation: Buy (or Add on dips). The forecast indicates positive short-term momentum. Combined with resilient fundamentals and capital return policies, AAPL appears attractive for the upcoming week. Long-term investors benefit from ecosystem strength; monitor services growth and new CEO execution.

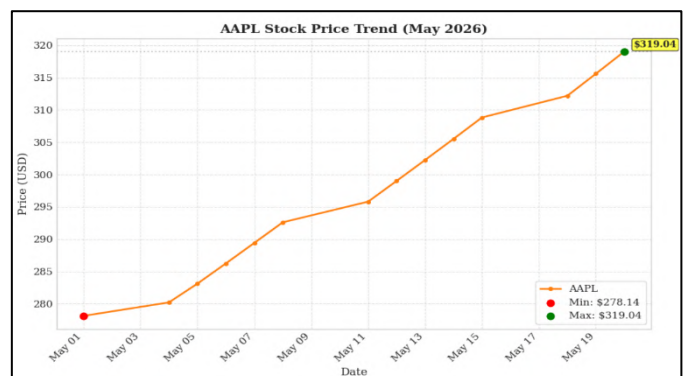


Figure 9: AAPL Forecast Stock Prices

3. Microsoft Corporation (MSFT)

3.1 Company Overview

Microsoft Corporation (NASDAQ: MSFT), headquartered in Redmond, Washington, is a global technology leader with a diversified portfolio spanning productivity software, cloud computing, gaming, and artificial intelligence. The company dominates the productivity space through Microsoft 365 and Windows, while Azure serves as one of the world's largest cloud platforms. Microsoft has also established a strong presence in gaming via Xbox and Game Pass (microsoft.com, n.d.).



Figure 10: Microsoft Corporation Product Line

3.2 Recent Market Performance

MSFT showed volatility in April 2026, trading around \$407–\$430+ at points, with some pullbacks amid capex concerns and mixed earnings reactions across tech. It rebounded at times on technical support and Azure growth, though it lagged pure AI rally leaders in certain sessions. Heavy 2026 capex (~\$200B guidance) underscores AI commitment.



Figure 12: MSFT Last Month Stock Prices

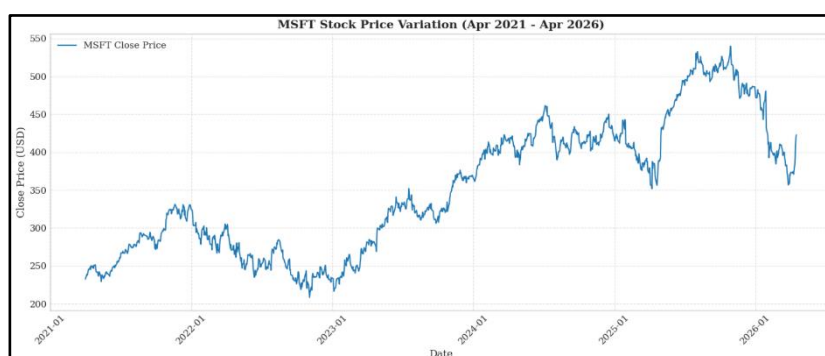


Figure 11: MSFT Last 5-year Stock Prices

3.3 Significant Price Movements & Justification

April featured rebounds from support levels and reactions to earnings/tech sector news. Pullbacks tied to broader AI spending scrutiny and quarterly results; recoveries reflected Azure strength and technical buying. No singular catastrophic event, but sensitivity to capex narratives affected sentiment. Microsoft's diversified revenue (cloud + productivity) provided a buffer (finance.yahoo.com, n.d.).

3.4 Competitor Analysis

MSFT competes directly with Alphabet (Google Cloud) and Amazon (AWS). Azure growth remains robust, though Google Cloud showed faster percentage gains in Q1. The OpenAI partnership bolsters AI positioning. In productivity, it dominates; overall, balanced exposure across segments aids resilience versus more concentrated peers.

3.5 Forecast & Recommendation

The LSTM model forecasts a slight, smooth decline from ~\$431 to ~\$422 over the period, suggesting mild consolidation or correction after recent moves.



Figure 13: MSFT Forecast Stock Prices

Recommendation: Hold. The mild downward signal advises caution for aggressive positioning in the short term. Fundamentals (Azure, Copilot, diversified revenue) support long-term confidence, but near-term profit-taking or market rotation may pressure the price. Monitor AI ROI and capex efficiency.

Conclusion & Overall Portfolio Insight

The LSTM forecasts (bias-corrected, recursive 14–20-day horizon) point to divergent short-term paths: bearish consolidation for GOOG, bullish continuation for AAPL, and mild softening for MSFT. These reflect historical patterns rather than new fundamentals.

Investment Advice for the Upcoming Week (early May 2026):

- AAPL: Buy – Strongest short-term momentum signal.
- GOOG & MSFT: Hold – Await confirmation of post-earnings sustainability or better entry points.

Diversification across the three balances AI/cloud exposure (GOOG/MSFT) with consumer/services stability (AAPL). Broader market tailwinds from AI adoption and IT spending growth favor these names long-term, but volatility from capex debates and macro factors warrants monitoring. Incorporate stop-losses and review after mid-May data.

Investors should pair these technical/ML insights with fundamental updates (earnings, product cycles) and risk tolerance. Past performance and model forecasts do not guarantee future results; consult professional advice.

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